Microsoft

Fourth Quarter Fiscal Year 2026 Outlook

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Agenda

Financial Summary and Highlights

Business Highlights

Segment Overview and Highlights

Appendix

All growth comparisons in this presentation relate to the corresponding period of last fiscal year unless otherwise noted. Numbers may not foot due to rounding.

FY26 Q4 Outlook

Foreign currency impact	• Increase to total revenue growth of less than 1 point, with roughly 1 point in Productivity and Business Processes and More Personal Computing, with no meaningful impact to Intelligent Cloud • Increase to COGS growth of roughly 1 point and no impact to Opex growth
Total Company	• Revenue of $86.7 to $87.8 billion
Productivity and Business Processes	• Revenue of $37.0 to $37.3 billion
Intelligent Cloud	• Revenue of $37.95 to $38.25 billion
More Personal Computing	• Revenue of $11.75 to $12.25 billion
Cost of revenue	• COGS of $29.4 to $29.6 billion
Operating expenses	• Expenses of $19.3 to $19.4 billion
Other income and expense	• Expected to be roughly $(100) million excluding any impact from our investments in OpenAI
Effective tax rate	• Approximately 19% excluding any impact from our investments in OpenAI
Capital expenditures	• Capital expenditures expected to increase to over $40 billion

FY26 Q4 Outlook Detail

Commercial Business

Commercial bookings	• Healthy growth on a growing expiry base when adjusted for OpenAI contracts in the prior year
Microsoft Cloud gross margin percentage	• Roughly 64%

Productivity and Business Processes

Microsoft 365 Commercial cloud revenue	• Growth between 13% to 14% in constant currency • Growth between 15% to 16% in constant currency when adjusting for prior-year in-period revenue recognition
Microsoft 365 Commercial products revenue	• Growth in mid-single digits
Microsoft 365 Consumer cloud revenue	• Growth in the low-twenties
LinkedIn revenue	• Growth of approximately 10%
Dynamics 365 revenue	• Growth in low-double digits

Intelligent Cloud

Azure and other cloud services revenue	• Growth between 39% to 40% in constant currency
Server products revenue	• Decline in mid-single digits

More Personal Computing

Windows OEM and Devices revenue	• Decline in mid- to high-teens
Search advertising revenue (ex TAC)	• Growth in high-single digits
Xbox content and services revenue	• Decline in low-teens

Outlook

Calendar Year 2026 Outlook

Capital expenditures	• Expect capital expenditures of approximately $190 billion, including roughly $25 billion from higher component pricing
Azure and other cloud services revenue	• Azure revenue growth expected to show some modest acceleration in the second half of the year compared with half one

Fiscal Year 2027 Outlook

Revenue	• Total revenue expected to grow double-digits
Operating expenses	• Operating expenses expected to grow in mid- to high-single digits
Operating income	• Operating income expected to grow double-digits



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